



INDIAN POLITY



CENTRE-STATE RELATIONS



FRE
CA
S



MODULE – 88

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Grants-in-Aid to the States

Besides sharing of taxes between the Centre and the states, the Constitution provides for grants-in-aid to the states from the Central resources. There are two types of grants-in-aid, viz, statutory grants and discretionary grants:

Statutory Grants

- 1** Article 275 empowers the Parliament to make grants to the states which are in need of financial assistance and not to every state.
- 2** Also, different sums may be fixed for different states. These sums are charged on the Consolidated Fund of India every year.
- 3** Apart from this general provision, the Constitution also provides for specific grants for promoting the welfare of the scheduled tribes in a state or for raising the level of administration of the scheduled areas in a state including the State of Assam.
- 4** The statutory grants are given on the recommendation of the FC.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Grants-in-Aid to the States

Discretionary Grants



1 Article 282 empowers both the Centre and the states to make any grants for any public purpose, even if it is not within their respective legislative competence.

2 Under this provision, the Centre makes grants to the states.

3 These grants are also known as discretionary grants, the reason being that the Centre is under no obligation to give these grants and the matter lies within its discretion.

4 These grants have a two-fold purpose:

- i. To help the state financially to fulfil plan targets; and
- ii. To give some leverage to the Centre to influence and coordinate state action to effectuate the national plan.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Finance Commission

Article 270, 273, 275 and 280 provide for the constitution of a Finance Commission to recommend to the President certain measures relating to the distribution of financial resources between the Union and the States. It is required to make recommendations to the President on the following matters:

- 1** The distribution of the net proceeds of taxes to be shared between the Centre and the states, and the allocation between the states, the respective shares of such proceeds.
- 2** The principles which should govern the grants-in-aid to the states by the Centre i.e., out of the Consolidated Fund of India.
- 3** The measures needed to augment the Consolidated fund of a State to supplement the resources of the panchayats and the municipalities in the state on the basis of the recommendations made by the State Finance Commission.
- 4** Any other matter referred to it by the President in the interests of sound finance.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Protection of the States' Interest

To protect the interest of states in the financial matters, the Constitution lays down that the following bills can be introduced in the Parliament only on the recommendation of the President:

- 1** A bill which imposes or varies any tax or duty in which states are interested.
- 2** A bill which varies the meaning of the expression '**agricultural income**' as defined for the purposes of the enactments relating to Indian income tax.
- 3** A bill which affects the principles on which **money** is or may be distributable to states.
- 4** A bill which imposes any surcharge on any specified tax or duty for the purpose of the Centre.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Borrowing by the Centre and the States

The Constitution makes the following provisions with regard to the borrowing powers of the Centre and the states:



- 1 The Central government can borrow either within India or outside upon the security of the Consolidated Fund of India or can give guarantees, but both within the limits fixed by the Parliament.
- 2 Similarly, a state government can borrow within India upon the security of the Consolidated Fund of the State or can give guarantees, but both within the limits fixed by the legislature of that state.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Borrowing by the Centre and the States



- 3 The Central government can make loans to any state or give guarantees in respect of loans raised by any state.
- 4 Any sums required for the purpose of making such loans are to be charged on the Consolidated Fund of India.
- 5 The Government of India may itself offer a loan to a State, under a law made by Parliament. So long as such a loan or any part thereof remains outstanding, no fresh loan can be raised by the State without the consent of the Gol.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Inter-Governmental Tax Immunities

Like any other federal Constitution, the Indian Constitution also contain the rule of 'immunity from mutual taxation' and makes the following provisions in this regard:

Exemption of Central Property from State Taxation

- 1** The property of Centre is exempted from all taxes imposed by a state or any authority within a state like municipalities, district boards, panchayats and so on. But, the Parliament is empowered to remove this ban.
- 2** The corporations or the companies created by the Central government are not immune from state taxation or local taxation. The reason is that a corporation or a company is a separate legal entity.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Inter-Governmental Tax Immunities

Exemption of State Property or Income from Central Taxation



- 1 The property and income of a state is exempted from Central taxation.
- 2 Such income may be derived from sovereign functions or commercial functions.
- 3 But the Centre can tax the commercial operations of a state if Parliament so provides.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Effects of Emergencies

The Centre-state financial relations in normal times (described above) undergo changes during emergencies. These are as follows:



1

National Emergency:

- While the proclamation of national emergency is in operation, the President can modify the constitutional distribution of revenues between the Centre and the states.
- This means that the president can either reduce or cancel the transfer of finances from the Centre to the states.
- Such modification continues till the end of the financial year in which the emergency ceases to operate.

CENTRE-STATE RELATIONS

FINANCIAL RELATIONS

Effects of Emergencies

The Centre-state financial relations in normal times (described above) undergo changes during emergencies. These are as follows:



2

Financial Emergency:

- While the proclamation of financial emergency is in operation, the Centre can give directions to the states:
 - i. To observe the specified canons of financial propriety;
 - ii. To reduce the salaries and allowances of all class of persons serving in the state; and
 - iii. To reserve all money bills and other financial bills for the consideration of the President.

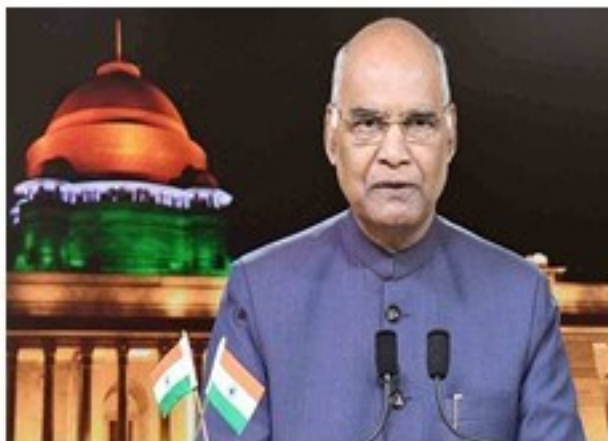
CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

TENSION AREAS IN CENTRE-STATE RELATIONS

The issues which created tensions and conflicts between the Centre and states are:

President's rule



- 1 Mode of appointment and dismissal of governor.
- 2 Discriminatory and partisan role of governors.
- 3 Imposition of President's Rule for partisan interests.
- 4 Deployment of Central forces in the states to maintain law and order.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

TENSION AREAS IN CENTRE-STATE RELATIONS

- 5 Reservation of state bills for the consideration of the President.
- 6 Discrimination in financial allocations to the states.
- 8 Management of All-India Services (IAS, IPS, and IFS).
- 9 Use of electronic media for political purposes.
- 10 Appointment of enquiry commissions against the chief ministers.
- 11 Sharing of finances (between Centre and states).
- 12 Encroachment by the Centre on the State List.



CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

ADMINISTRATIVE REFORMS COMMISSION



- 1** The Central government appointed a six-member Administrative Reforms Commission (ARC) in 1966 under the chairmanship of **Moraji Desai** (followed by **K Hanumanthayya**).
- 2** Its terms of references included, among others, the examination of Centre-State relations.
- 3** In order to examine thoroughly the various issues in Centre-state relations, the ARC constituted a study team under **M C Setalvad**.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

ADMINISTRATIVE REFORMS COMMISSION



No action was taken by the Central government on the recommendations of the ARC.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

RAJAMANNAR COMMITTEE

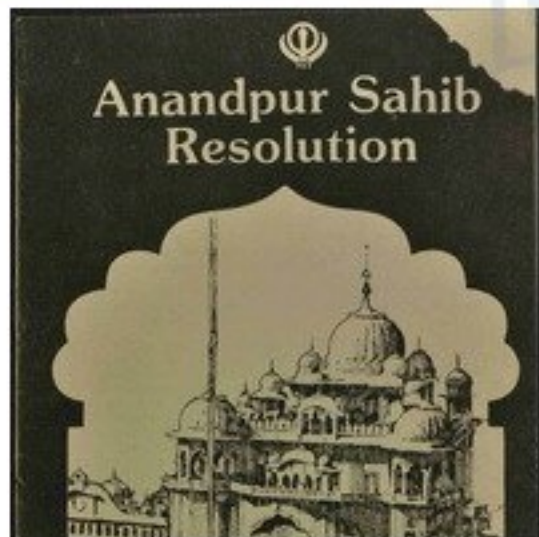
In 1969, the Tamil Nadu Government (DMK) appointed a three-member committee under the chairmanship of Dr P V Rajamannar to examine the entire question of Centre-state relations. The important recommendations of the committee are as follows:

- 1** Articles 356, 357 and 365 dealing with President's Rule should be totally omitted.
- 2** The provision that the state ministry holds office during the pleasure of the governor should be omitted;
- 3** Certain subjects of the Union List and the Concurrent List should be transferred to the State List.
- 4** The residuary powers should be allocated to the states;
- 5** All-India services (IAS, IPS and IFS) should be abolished.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

ANANDPUR SAHIB RESOLUTION



- 1 In 1973, the Akali Dal adopted a resolution containing both political and religious demands in a meeting held at Anandpur Sahib in Punjab.
- 2 The resolution, generally known as Anandpur Sahib Resolution, demanded that the Centre's jurisdiction should be restricted only to defence, foreign affairs, communications, and currency and the entire residuary powers should be vested in the states.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

WEST BENGAL MEMORANDUM

In 1977, the West Bengal Government (led by the Communists) published a memorandum on Centre-state relations.

- 1 The word 'union' in the Constitution should be replaced by the word 'federal'.
- 2 All other subjects including the residuary subjects should be vested in the states.
- 3 Articles 356 and 357 (President's Rule) and 360 (financial emergency) should be repealed.
- 4 State's consent should be made obligatory for formation of new states or reorganisation of existing states.
- 5 There should be only Central and state services and the all-India services should be abolished.

The Central government did not accept the demands made in the memorandum.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

SARKARIA COMMISSION



6 However, it **did not** equate strong Centre with centralisation of powers.

5 A strong Centre is essential to safeguard the national unity and integrity which is being threatened by the **fissiparous tendencies in the body politic.**

4 It out rightly rejected the demand for curtailing the powers of the Centre.

1 In 1983, the Central government appointed a three-member Commission on Centre-state relations under the chairmanship of R. S. Sarkaria.

2 The Commission did not favour structural changes and regarded the existing constitutional arrangements relating to the institutions basically sound.

3 It **emphasised on the need for changes in the functional or operational aspects.**

It observed that over-centralisation leads to blood pressure at the centre and anemia at the periphery.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

RECOMMENDATIONS OF SARKARIA COMMISSION

President's rule



All India Services IAS, IFS, and IPS



- 1 A permanent **Inter-State Council** to be set up under Article 263.
- 2 **Article 356** (President's Rule) should be used very sparingly, in extreme cases as a last resort.
- 3 **All-India Services** should be further strengthened.
- 4 The **residuary powers of taxation** should continue to remain with the Parliament.
- 5 When the **president withholds his assent to the state bills**, the reasons should be communicated to the state government.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

RECOMMENDATIONS OF SARKARIA COMMISSION

6 The **zonal councils** should be constituted afresh and reactivated to promote the **spirit of federalism**.

7 The Centre should have powers to deploy **its armed forces, even without the consent of states**.

8 The Centre should consult the states before making a law on a subject of the **Concurrent List**.

9 The **procedure of consulting the chief minister in the appointment of the state governor** should be prescribed in the Constitution itself.

10 The governor cannot dismiss the council of ministers so long as it commands a majority in the assembly.

11 The **governor's term** of five years in a state should not be disturbed except for some **extremely compelling reasons**.

12 Steps should be taken to uniformly implement the **three language formula** in its true spirit.

13 No change in the role of Rajya Sabha and Centre's power to reorganise the states.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

PUNCHHI COMMISSION

The Second commission on Centre-State Relations was set-up by the Government of India in April 2007 under the Chairmanship of Madan Mohan Punchhi, former Chief Justice of India.



- 1** The Commission submitted its report to the government in April 2010.
- 2** In finalising the 1,456 page report, in seven volumes, the Commission took extensive help from the Sarkaria Commission report, the National Commission to Review the Working of the Constitution (NCRWC) report and the Second Administrative Reforms Commission report.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

PUNCHHI COMMISSION

- 3 However, in a number of areas, the Commission report differed from the Sarkaria Commission recommendations.



- 4 The Commission came to the conclusion that 'cooperative federalism' will be the key for sustaining India's unity, integrity and social and economic development in future.



CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

RECOMMENDATIONS OF PUNCHHI COMMISSION

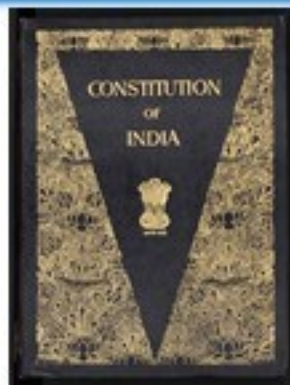
- 1 The Union should be **extremely restrained in asserting Parliamentary supremacy** in matters assigned to the states.
- 2 **Greater flexibility to states** in relation to subjects in the State List and “transferred items” in the Concurrent List is the key for better Centre-state relations.
- 3 While selecting Governors, the Central Government **should adopt the following strict guidelines as recommended in the Sarkaria Commission report** and follow its mandate in letter and spirit :
 - i. He should be eminent in some walk of life
 - ii. He should be a person from outside the state.
 - iii. He should be a detached figure and not too intimately connected with the local politics of the states.
 - iv. He should be a person who has not taken too great a part in politics generally and particularly in the recent past.

CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

RECOMMENDATIONS OF PUNCHHI COMMISSION

- 4 Governors should be given a fixed tenure of five years and their removal should not be at the sweet will of the Central Govt.
- 5 On the question of dismissal of a Chief Minister, the Governor should invariably insist on the Chief Minister proving his majority on the floor of the House for which he should prescribe a time limit.
- 6 When an external aggression or internal disturbance paralyses the state administration creating a situation of a potential break down of the Constitutional machinery of the state, all alternative courses available to the Union for discharging its paramount responsibility under Article 355 should be exhausted to contain the situation and the exercise of the power under Article 356 should be limited strictly to rectifying a "failure of the Constitutional machinery in the state".



CENTRE-STATE RELATIONS

TRENDS IN CENTRE-STATE RELATIONS

RECOMMENDATIONS OF PUNCHHI COMMISSION

- 7 On the question of invoking Article 356 in case of failure of Constitutional machinery in states, the guidelines set forth in the landmark judgment of the Supreme Court in **S.R. Bommai V. Union of India** must be adhered.
- 8 Suitable amendments to Article 263 are required to **make the Inter-State Council a credible, powerful and fair mechanism** for management of interstate and Centre-state differences.
- 9 The **Zonal Councils** should meet at least twice a year with an agenda proposed by states concerned to maximise co-ordination.
- 10 **New all-India services** in sectors like health, education, engineering and judiciary should be created.
- 11 The FC division in the Ministry of Finance should be converted into a full-fledged department, serving as the permanent secretariat for the Finance Commissions.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:
suggestions@learningspace.in

To Contact us:
info@learningspace.in

For Information:
info.learningspacedigital@gmail.com

Visit us at:
www.learningspacedigital.com

0866 244 44 72
98499 42299
94415 27588